Zebra Technologies
Third Quarter 2020 Results

November 3, 2020

Safe Harbor Statement

Statements made in this presentation which are not statements of historical fact are forward-looking statements and are subject to the safe harbor provisions created by the Private Securities Litigation Reform Act of 1995. Actual results may differ from those expressed or implied in the company's forward-looking statements. Zebra may elect to update forward-looking statements but expressly disclaims any obligation to do so, even if the company's estimates change. These forward-looking statements are based on current expectations, forecasts and assumptions and are subject to the risks and uncertainties inherent in Zebra's industry, market conditions, general domestic and international economic conditions, and other factors. These factors include customer acceptance of Zebra's hardware and software products and competitors' product offerings, and the potential effects of technological changes. The continued uncertainty over future global economic conditions, the availability of credit, capital markets volatility, may have adverse effects on Zebra, its suppliers and its customers. In addition, a disruption in our ability to obtain products from vendors as a result of supply chain constraints, natural disasters, public health issues (including pandemics), or other circumstances could restrict sales and negatively affect customer relationships. Profits and profitability will be affected by Zebra's ability to control manufacturing and operating costs. Because of its debt, interest rates and financial market conditions will also have an impact on results. Foreign exchange rates will have an effect on financial results because of the large percentage of our international sales. The outcome of litigation in which Zebra may be involved is another factor. The success of integrating acquisitions could also affect profitability, reported results and the company's competitive position in its industry. These and other factors could have an adverse effect on Zebra's sales, gross profit margins and results of operations. Descriptions of the risks, uncertainties and other factors that could affect the company's future operations and results can be found in Zebra's filings with the Securities and Exchange Commission. In particular, please refer to Zebra's latest filing of its Form 10-K and Form 10-Q. This presentation includes certain non-GAAP financial measures and we refer to the reconciliations to the comparable GAAP financial measures and related information.

Agenda

01 **Q3 Highlights**
Anders Gustafsson, CEO

02 **Q3 Financials and Q4 Outlook**
Nathan Winters, Acting CFO

03 **Advancing our Vision, Market Trends**
Anders Gustafsson, CEO

04 **Q&A**
Anders Gustafsson, CEO | Joe Heel, SVP Global Sales | Nathan Winters, Acting CFO

Third-Quarter 2020 Highlights

- Our teams executed well in an environment that has disproportionately impacted our smaller customers and certain end-markets
- Pleased to deliver sales, EBITDA margin, and earnings per share results that exceeded our outlook, as many enterprise customers prioritized their spending on our solutions
- Organic Net Sales increased 0.3%
  - Relative strength in N.A.; declines in APAC and LatAm
  - Large order strength partially offset soft, yet recovering, run-rate demand globally
  - Enterprise Mobile Computing relative outperformance; services profitable growth
- Adjusted EBITDA margin of 20.3%, a 240bp year-over-year decrease
  - Gross margin impacted by large order mix and premium freight cost
  - Diligent cost management
- Non-GAAP diluted EPS of $3.27, down 5%, or $0.16 cents
- Closed on the acquisition of Reflexis: leading provider of intelligent workforce management and task execution solutions for the retail, food service, hospitality, and banking industries

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Third-Quarter P&L Summary[1]

In millions, except per share data	3Q20	3Q19	Change
Adjusted Net Sales	$1,134	$1,130	0.4%
Organic Net Sales Growth[2,3]			0.3%
Adjusted Gross Profit	$497	$539	(7.8)%
Adjusted Gross Margin	43.8%	47.7%	(390) bps
Adjusted Operating Expenses	$283	$300	(5.7)%
Adjusted EBITDA	$230	$257	(10.5)%
Adjusted EBITDA Margin	20.3%	22.7%	(240) bps
Non-GAAP Diluted EPS	$3.27	$3.43	(4.7)%

(1) Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial results
(2) Assumes constant FX to prior-year period
(3) Excludes revenue from acquisitions for the 12 months following each respective acquisition date

SEGMENT ORGANIC SALES GROWTH[2,3]

EVM Segment 4.0%

AIT Segment (7.1)%

REGIONAL ORGANIC SALES GROWTH[2,3]

North America 6%

EMEA 0%

Asia Pacific (13)%

Latin America (20)%

LOWER EBITDA, EPS

Lower gross margin due to unfavorable business mix (especially deal size) and $8M premium freight costs, partially offset by service productivity improvements

Effective discretionary operating expense management

Lower interest expense and share count

Balance Sheet and Cash Flow Highlights

Cash Flow

- $482M free cash flow through YTD 3Q20
  - Lower use of working capital, including benefit from accounts receivable factoring initiative, the primary driver of $106M higher free cash flow vs YTD 3Q19
- Net borrowings of $286M through YTD 3Q20
- $548M cash for Q3 acquisition of Reflexis; $32M of venture investments YTD 3Q20 (zero in 3Q20)
- $200M of share repurchases through YTD 3Q20 (zero share repurchases in Q2 and Q3); $753M remaining under the 7/30/19 authorization

Liquidity and Debt

- $39M in cash & cash equivalents as of 3Q20
- $1.6B total debt on balance sheet as of 3Q20
- $800M+ capacity under revolving credit facility
- Net-debt-to-adjusted-EBITDA ratio of 1.8x

Zebra Successfully Navigating a Challenging Global Environment

- Fortress Balance Sheet
  - $1B revolving credit facility maturing Aug 2024 supported by diversified bank group with strong ratings
  - 1.8x net debt to adjusted EBITDA ratio
  - Share repurchase authorization a flexible mechanism to return capital to shareholders
- Highly diversified business: global footprint, broad product & solution set, increasingly diverse end-markets
- Capital Light Business Model with < 20% Fixed COGS Profile
  - Outsource vast majority of product manufacturing to reputable third parties
  - ~ 80% of sales volume channeled through third party resellers
- Strong Free Cash Flow Profile
  - Flexible cost structure preserves free cash flow in challenging times
  - Capital expenditures ~ 1.5% of sales
- Preserving Profitability in Challenging Times
  - Zebra has track record of proactively preserving profits by curbing spend that “does not harm” the business
  - Extending industry leadership position by making bold strategic investments

Outlook & Assumptions [1]

4Q20

- Expect net sales to increase 3-7% as customers continue to recover from the peak of the COVID-19 pandemic
  - ~150 basis point additive impact from recently acquired businesses [1]
  - Neutral impact from FX
- Adjusted EBITDA margin 21-22%
- Non-GAAP diluted EPS range $3.70 to $3.90
- *~ $9M gross profit impact from premium freight cost*

FY20

- Expect net sales decline ~2% vs. FY19 (based on Q4 outlook) entirely due to global economic impact from pandemic
  - ~ 70 basis point additive impact from recently acquired businesses [1]
  - ~ 70 basis point negative impact from FX
- Adjusted EBITDA margin ~20% (based on Q4 outlook)
- Free cash flow of at least $650M, an increase from FY19
- Capital expenditures ~ $65-70M (including up to $10M related to our global product sourcing diversification initiative)
- Depreciation ~ $69M and Amortization ~ $78M
- Stock-based compensation expense $50-60M
- Cost of debt (pre-tax) ~ 2-3%
- Non-GAAP tax rate ~ 16%
- *> $30M gross profit net impact from premium freight cost*
- *~ $10M gross profit net impact from China import tariffs*
- *Up to $20M of one-time charges (pre-tax) related to our global product sourcing diversification initiative*

(1) Refers to impact to growth rate for the 12 months following each respective acquisition date; Reflexis Systems, Inc. acquired September 1, 2020, Cortexica Vision Systems Ltd. acquired November 5, 2019, and Profitect Inc. acquired May 31, 2019

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Building on Zebra's Foundational Capabilities to Elevate Our Value Proposition

Focused on Scaling Solutions that Drive Actionable Insights

CUSTOMER BENEFIT

End-To-End Workflow Optimization

INTELLIGENT EDGE SOLUTIONS

Zebra **Savanna**™

Zebra **MotionWorks**®
Powered by Zebra Savanna℠

REFLEXIS
Workforce/Task Management

Zebra **Workforce Connect**™
Powered by Zebra Savanna™

Zebra **Data Services**

Zebra **SmartLens**®
Powered by Zebra Savanna™

Zebra **Prescriptive Analytics**™
Powered by Zebra Savanna™

Zebra **SmartCount**™

Zebra **VisibilityIQ**™
Powered by Zebra Savanna™

Zebra **SmartSight**™

Zebra **FulfillmentEdge**™
Powered by Zebra Savanna™

Zebra **SmartPack**™
Powered by Zebra Savanna™

ENABLING TECHNOLOGIES

Computer Vision | **Machine Learning** | **Artificial Intelligence** | **Intelligent Automation & Collaboration**

STRATEGIC FRAMEWORK

SENSE

ANALYZE

ACT

Zebra Optimizes Workflow Execution Through Real-Time Contextual & Unified Tasking

Offers Retailers Unmatched ‘Solutions as a Service’

Zebra **SmartSight**™
(Subscription-based automated aisle/shelf visibility)

Zebra **Prescriptive Analytics**™
(Prescribe best next-action based on retail system data)

REFLEXIS
Workforce Management
(Labor forecasting, budgeting, and scheduling)

Zebra **Workforce Connect**™
(Unify labor force through real-time voice & text communications)

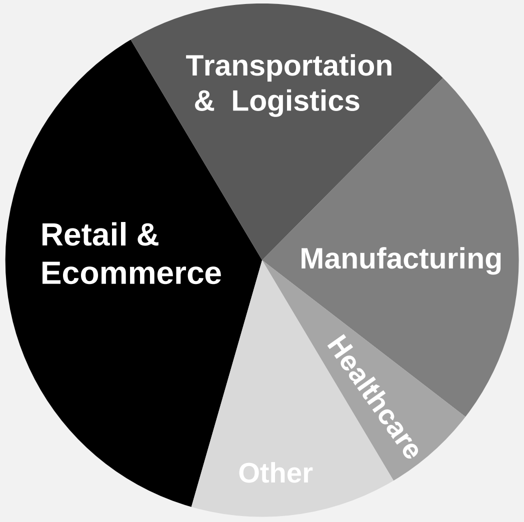
Zebra **SmartCount**™
(Self-directed physical inventory counts)

REFLEXIS
Task Management
(Intuitive mobile interface)

Mixed Demand Impacts in our Diversified End Markets

Market Served	Current Key Drivers	Longer-Term Opportunity
Healthcare	↑ Clinical care treatment remains critical ↑ Our solutions used for COVID-19 response: drive thru testing, lab management, temp facilities ↔ Elective care resuming	• Our purpose-built solutions are critical • Strong supplies offerings in Wristband and Temptime • Transformation to accelerate post-COVID-19 (e.g. mobility, contact tracing, remote patient care)
Retail / Ecommerce	↑ Mass merchant, grocery, e-tail subsectors (~2/3rds of Zebra's retail vertical sales) ↑ Step change in consumer adoption of omnichannel/ecommerce during pandemic ↔ Brick & mortar reliant department stores and apparel retailers reopening with limited capacity ↔ Project demos/trials resuming	• BOPIS and delivery use cases expanding • Investment in tech and automation necessary for retail model transformation • Track & trace from production to shelf • Mobile computer for all associates
Transportation & Logistics	↑ Increased ecommerce/omnichannel demand; 3PL and couriers delivering the essentials ↓ Aviation/auto passenger transport challenged	• Small parcel delivery growing exponentially • Last mile on-demand fulfillment increasingly important • Supply chain efficiency and resiliency gaps highlighted during pandemic need to be addressed through intelligent automation
Manufacturing	↑ Process manufacturing (e.g. food, pharma) ↓ Discrete manufacturing (e.g. aviation, electronics auto) recovering ↔ Diversification of supply chain creating opportunities outside of China	• Manufacturing transformation including intelligent automation • Opportunities to increase automation in workflows (e.g. cobots, proximity sensing/tracking) • Track & trace from production to shelf

Sales Mix by Vertical



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Q&A

Appendix

Use of Non-GAAP Financial Information

This earnings release contains certain Non-GAAP financial measures, consisting of “adjusted net sales,” “adjusted gross profit,” “EBITDA,” “Adjusted EBITDA,” “Non-GAAP net income,” “Non-GAAP earnings per share,” “free cash flow,” “organic net sales growth,” and “adjusted operating expenses.” Management presents these measures to focus on the on-going operations and believes it is useful to investors because they enable them to perform meaningful comparisons of past and present operating results. The company believes it is useful to present Non-GAAP financial measures, which exclude certain significant items, as a means to understand the performance of its ongoing operations and how management views the business. Please see the “Reconciliation of GAAP to Non-GAAP Financial Measures” tables and accompanying disclosures at the end of this press release for more detailed information regarding non-GAAP financial measures herein, including the items reflected in adjusted net earnings calculations. These measures, however, should not be construed as an alternative to any other measure of performance determined in accordance with GAAP.

The company does not provide a reconciliation for non-GAAP estimates on a forward-looking basis (including the information under “Outlook” above) where it is unable to provide a meaningful or accurate calculation or estimation of reconciling items and the information is not available without unreasonable effort. This is due to the inherent difficulty of forecasting the timing or amount of various items that have not yet occurred, are out of the company’s control and/or cannot be reasonably predicted, and that would impact diluted net earnings per share, the most directly comparable forward-looking GAAP financial measure. For the same reasons, the company is unable to address the probable significance of the unavailable information. Forward-looking non-GAAP financial measures provided without the most directly comparable GAAP financial measures may vary materially from the corresponding GAAP financial measures.

As a global company, Zebra's operating results reported in U.S. dollars are affected by foreign currency exchange rate fluctuations because the underlying foreign currencies in which the company transacts change in value over time compared to the U.S. dollar; accordingly, the company presents certain organic growth financial information, which includes impacts of foreign currency translation, to provide a framework to assess how the company’s businesses performed excluding the impact of foreign currency exchange rate fluctuations. Foreign currency impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. dollar. This impact is calculated by translating, for certain currencies, current period results at the currency exchange rates used in the comparable period in the prior year, rather than the exchange rates in effect during the current period. In addition, the company excludes the impact of its foreign currency hedging program in the prior year period. The company believes these measures should be considered a supplement to and not in lieu of the company’s performance measures calculated in accordance with GAAP.

GAAP to Non-GAAP Organic Net Sales Growth Reconciliation

(Unaudited)

	Three Months Ended September 26, 2020		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales growth	(7.2) %	4.1 %	0.2 %
Adjustments:			
Impact of foreign currency translation [(1)]	0.1 %	0.6 %	0.4 %
Impact of acquisitions [(2)]	— %	(0.7) %	(0.3) %
Organic Net sales growth	(7.1) %	4.0 %	0.3 %

	Nine Months Ended September 26, 2020		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales growth	(9.8) %	(2.0) %	(4.6) %
Adjustments:			
Impact of foreign currency translation [(1)]	0.6 %	1.1 %	0.9 %
Impact of acquisitions [(2)]	(0.6) %	(0.5) %	(0.5) %
Organic Net sales growth	(9.8) %	(1.4) %	(4.2) %

(1) Operating results reported in U.S. Dollars are affected by foreign currency exchange rate fluctuations. Foreign currency translation impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. Dollar. This impact is calculated by translating the current period results at the currency exchange rates used in the comparable prior year period, inclusive of the Company's foreign currency hedging program.

(2) For purposes of computing Organic Net sales, amounts directly attributable to the Temptime acquisition (included in our consolidated results beginning February 21, 2019), Profitect acquisition (included in our consolidated results beginning May 31, 2019), Cortexica acquisition (included in our consolidated results beginning November 5, 2019), and Reflexis acquisition (included in our consolidated results beginning September 1, 2020) are excluded for twelve months following the respective acquisition dates.

GAAP to Non-GAAP Gross Margin Reconciliation

(In millions)
(Unaudited)

	Three Months Ended					
	September 26, 2020			September 28, 2019		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
GAAP						
Reported Net sales (1)	$ 346	$ 788	$ 1,132	$ 373	$ 757	$ 1,130
Reported Gross profit (1)	162	334	493	187	351	535
Gross Margin	46.8 %	42.4 %	43.6 %	50.1 %	46.4 %	47.3 %
Non-GAAP						
Adjusted Net sales	$ 346	$ 788	$ 1,134	$ 373	$ 757	$ 1,130
Adjusted Gross profit (2)	162	335	497	187	352	539
Adjusted Gross Margin	46.8 %	42.5 %	43.8 %	50.1 %	46.5 %	47.7 %

	Nine Months Ended					
	September 26, 2020			September 28, 2019		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
GAAP						
Reported Net sales (1)	$ 992	$ 2,150	$ 3,140	$ 1,100	$ 2,193	$ 3,293
Reported Gross profit (1)	466	925	1,385	553	1,009	1,556
Gross Margin	47.0 %	43.0 %	44.1 %	50.3 %	46.0 %	47.3 %
Non-GAAP						
Adjusted Net sales	$ 992	$ 2,150	$ 3,142	$ 1,100	$ 2,193	$ 3,293
Adjusted Gross profit (2)	467	927	1,394	554	1,011	1,565
Adjusted Gross Margin	47.1 %	43.1 %	44.4 %	50.4 %	46.1 %	47.5 %

(1) Consolidated results include corporate eliminations related to business acquisitions that are not reported in segment results.
(2) Adjusted Gross profit excludes purchase accounting adjustments and share-based compensation expense.

GAAP to Non-GAAP Net Income Reconciliation

(In millions, except share data)
(Unaudited)

	Three Months Ended		Nine Months Ended	
	September 26, 2020	September 28, 2019	September 26, 2020	September 28, 2019
Net income	$ 116	$ 136	$ 305	$ 375
Adjustments to Net sales[1]				
Purchase accounting adjustments	2	—	2	—
Total adjustments to Net sales	2	—	2	—
Adjustments to Cost of sales[1]				
Purchase accounting adjustments	—	3	—	6
Share-based compensation	1	1	3	3
Product sourcing diversification initiative	1	—	4	—
Total adjustments to Cost of sales	2	4	7	9
Adjustments to Operating expenses[1]				
Amortization of intangible assets	20	26	52	84
Acquisition and integration costs	19	12	21	20
Share-based compensation	14	11	35	40
Exit and restructuring costs	1	—	7	2
Product sourcing diversification initiative	6	1	11	1
Total adjustments to Operating expenses	60	50	126	147
Adjustments to Other expenses, net[1]				
Debt extinguishment costs	—	3	—	3
Amortization of debt issuance costs and discounts	1	4	2	6
Investment gain	(1)	—	(8)	(3)
Foreign exchange loss (gain)	3	(2)	15	2
Forward interest rate swaps loss	4	4	46	27
Total adjustments to Other expenses, net	7	9	55	35
Income tax effect of adjustments[2]				
Reported income tax expense	22	23	39	44
Adjusted income tax	(34)	(35)	(84)	(98)
Total adjustments to income tax	(12)	(12)	(45)	(54)
Total adjustments	59	51	145	137
Non-GAAP Net income	$ 175	$ 187	$ 450	$ 512
GAAP earnings per share				
Basic	$ 2.18	$ 2.52	$ 5.70	$ 6.95
Diluted	$ 2.16	$ 2.50	$ 5.65	$ 6.87
Non-GAAP earnings per share				
Basic	$ 3.29	$ 3.47	$ 8.42	$ 9.49
Diluted	$ 3.27	$ 3.43	$ 8.34	$ 9.38
Basic weighted average shares outstanding	53,300,036	54,085,500	53,460,891	53,999,044
Diluted weighted average and equivalent shares outstanding	53,716,306	54,637,823	53,947,786	54,610,091

1. Presented on a pre-tax basis.
2. Represents adjustments to the GAAP income tax expense commensurate with pre-tax non-GAAP adjustments (including the resulting impacts to U.S. BEAT/GILTI provisions) and to exclude the impacts of certain discrete income tax items.

GAAP to Non-GAAP EBITDA Reconciliation

(In millions) (Unaudited)	Three Months Ended		Nine Months Ended	
	September 26, 2020	September 28, 2019	September 26, 2020	September 28, 2019
Net income	$ 116	$ 136	$ 305	$ 375
Add back:				
Depreciation (excluding exit and restructuring costs)	16	18	51	55
Amortization of intangible assets	20	26	52	84
Total Other expenses, net	12	26	76	85
Income tax expense	22	23	39	44
EBITDA (Non-GAAP)	186	229	523	643
Adjustments to Net sales				
Purchase accounting adjustments	2	—	2	—
Total adjustments to Net sales	2	—	2	—
Adjustments to Cost of sales				
Purchase accounting adjustments	—	3	—	6
Share-based compensation	1	1	3	3
Product sourcing diversification initiative	1	—	4	—
Total adjustments to Cost of sales	2	4	7	9
Adjustments to Operating expenses				
Acquisition and integration costs	19	12	21	20
Share-based compensation	14	11	35	40
Exit and restructuring costs	1	—	7	2
Product sourcing diversification initiative	6	1	11	1
Total adjustments to Operating expenses	40	24	74	63
Total adjustments to EBITDA	44	28	83	72
Adjusted EBITDA (Non-GAAP)	$ 230	$ 257	$ 606	$ 715
Adjusted EBITDA % of Adjusted Net Sales	20.3 %	22.7 %	19.3 %	21.7 %

GAAP to Non-GAAP Free Cash Flow Reconciliation

(In millions)
(Unaudited)

	Nine Months Ended	
	September 26, 2020	September 28, 2019
Net cash provided by operating activities	$ 531	$ 420
Less: Purchases of property, plant and equipment	(49)	(44)
Free cash flow (Non-GAAP)[1]	$ 482	$ 376

1. Free cash flow is defined as Net cash provided by operating activities in a period minus purchases of property, plant and equipment (capital expenditures) made in that period. This measure does not represent residual cash flows available for discretionary expenditures as the measure does not deduct the payments required for debt service and other contractual obligations or payments for future business acquisitions. Therefore, we believe it is important to view free cash flow as a measure that provides supplemental information to our entire statements of cash flows.